

KELANI CABLES PLC

Company Reg. No. PQ 117



INTERIM FINANCIAL STATEMENTS
FOR THE 09 MONTHS PERIOD ENDED DECEMBER 31, 2022

KELANI CABLES PLC
INTERIM FINANCIAL STATEMENTS - 31 DECEMBER 2022

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the quarter ended 31 December	COMPANY AND INVESTEE		COMPANY	
	2022 Rs.000	2021 Rs.000	2022 Rs.000	2021 Rs.000
Revenue	2,691,511	4,329,626	2,691,511	4,329,626
Cost of sales	(1,936,246)	(3,193,478)	(1,936,246)	(3,193,478)
Gross profit	755,265	1,136,148	755,265	1,136,148
Other income	16,791	3,813	16,791	3,813
Distribution expenses	(166,030)	(140,455)	(166,030)	(140,455)
Administrative expenses	(94,990)	(84,279)	(94,990)	(84,279)
Profit from operations	511,036	915,228	511,036	915,228
Finance income	121,528	17,102	121,528	17,102
Finance expenses	(5,911)	(30,167)	(5,911)	(30,167)
Net finance income/(expenses)	115,617	(13,065)	115,617	(13,065)
Share of (loss)/profit on equity accounted investee, net of tax	(629)	(606)	-	-
Profit before tax	626,023	901,558	626,653	902,164
Income tax expense	(187,996)	(162,389)	(187,996)	(162,389)
Profit for the quarter	438,028	739,168	438,657	739,774
Other comprehensive income				
Items that will not be reclassified to profit or loss	-	-	-	-
Other comprehensive income , net of tax	-	-	-	-
Total comprehensive income for the quarter	438,028	739,168	438,657	739,774
Earnings per share -Rs.	20.09	33.91	20.12	33.93
Market value per share				
Highest price-Rs.			436.00	550.00
Lowest price-Rs.			235.00	129.00
Last traded price-Rs.			259.75	489.75
Number of shares representing the stated capital			21,800,000	21,800,000

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the period ended 31 December	COMPANY AND INVESTEE		COMPANY	
	2022 Rs.000	2021 Rs.000	2022 Rs.000	2021 Rs.000
Revenue	8,729,998	10,989,681	8,729,998	10,989,681
Cost of sales	(5,982,959)	(8,752,586)	(5,982,959)	(8,752,586)
Gross profit	2,747,040	2,237,095	2,747,040	2,237,095
Other income	35,918	14,973	35,918	14,973
Distribution expenses	(448,919)	(369,224)	(448,919)	(369,224)
Administrative expenses	(292,124)	(283,318)	(292,124)	(283,318)
Profit from operations	2,041,915	1,599,526	2,041,915	1,599,526
Finance income	657,649	41,330	657,649	41,330
Finance expenses	(24,983)	(146,059)	(24,983)	(146,059)
Net finance income/(expenses)	632,667	(104,729)	632,667	(104,729)
Share of loss on equity accounted investee, net of tax	(1,829)	(1,826)	-	-
Profit before tax	2,672,752	1,492,972	2,674,582	1,494,797
Income tax expense	(556,623)	(269,058)	(556,623)	(269,058)
Profit for the period	2,116,129	1,223,913	2,117,959	1,225,739
Other comprehensive income				
Items that will not be reclassified to profit or loss	-	-	-	-
Other comprehensive income, net of tax	-	-	-	-
Total comprehensive income for the period	2,116,129	1,223,913	2,117,959	1,225,739
Earnings per share -Rs.	97.07	56.14	97.15	56.23
Market value per share				
Highest price-Rs.			458.00	550.00
Lowest price-Rs.			98.10	110.25
Last traded price-Rs.			259.75	489.75
Number of shares representing the stated capital			21,800,000	21,800,000

STATEMENT OF FINANCIAL POSITION

	COMPANY & INVESTEE		COMPANY	
	As at 31 December 2022 Rs.000	As at 31 March 2022 Rs.000	As at 31 December 2022 Rs.000	As at 31 March 2022 Rs.000
ASSETS				
NON CURRENT ASSETS				
Property, plant and equipment	1,138,371	1,155,168	1,138,371	1,155,168
Investment property	690,000	690,000	690,000	690,000
Right-of-use assets	2,456	3,125	2,456	3,125
Investment in equity accounted investee	73,303	75,133	51,200	51,200
	1,904,130	1,923,426	1,882,026	1,899,493
CURRENT ASSETS				
Inventories	2,685,428	2,340,192	2,685,428	2,340,192
Trade and other receivables	1,715,163	2,057,136	1,715,163	2,057,136
Amount due from related companies	604,273	547,202	604,273	547,202
Value added tax recoverable	784,639	747,211	784,639	747,211
Deposits and prepayments	19,112	23,078	19,112	23,078
Investment in fixed deposits	1,777,485	1,336,800	1,777,485	1,336,800
Cash and cash equivalents	1,406,462	2,529,130	1,406,462	2,529,130
	8,992,560	9,580,750	8,992,560	9,580,750
TOTAL ASSETS	10,896,690	11,504,176	10,874,587	11,480,243
EQUITY AND LIABILITIES				
EQUITY				
Stated capital	218,000	218,000	218,000	218,000
Capital reserves	592,491	592,491	522,620	522,620
General reserves	431,136	431,136	431,136	431,136
Retained earnings	7,453,456	5,479,027	7,501,223	5,524,965
	8,695,083	6,720,654	8,672,980	6,696,721
NON-CURRENT LIABILITIES				
Employee benefits	139,654	122,807	139,654	122,807
Deferred taxation	45,834	45,834	45,834	45,834
Interest bearing borrowings	122,694	239,275	122,694	239,275
	308,182	407,916	308,182	407,916
CURRENT LIABILITIES				
Trade and other payables	332,875	3,005,972	332,875	3,005,972
Amount due to related companies	363,597	511,344	363,597	511,344
Current tax payables	1,019,395	660,744	1,019,395	660,744
Unclaimed dividends	16,192	12,301	16,192	12,301
Interest bearing borrowings	155,826	157,983	155,826	157,983
Bank overdrafts	5,541	27,261	5,541	27,261
	1,893,425	4,375,606	1,893,425	4,375,606
TOTAL LIABILITIES	2,201,607	4,783,522	2,201,607	4,783,522
TOTAL EQUITY AND LIABILITIES	10,896,690	11,504,176	10,874,587	11,480,243
Net asset per share (Rs.)	398.86	308.29	397.84	307.19

(Sgd.)

Ms. Hemamala Karunasekara
Chief Financial Officer

(Sgd.)

Mahinda Saranapala
Director/Chief Executive Officer

(Sgd.)

U. G. Madanayake
Chairman

February 13, 2023
Colombo

STATEMENT OF CHANGES IN EQUITY

COMPANY AND INVESTEE

	Stated Capital Rs.000	Capital Reserves Rs.000	General Reserves Rs.000	Retained Earnings Rs.000	Total Rs.000
Balance as at 1 April 2021	218,000	592,491	431,136	3,408,196	4,649,823
Comprehensive income for the period					
Profit for the period				1,223,913	1,223,913
Other comprehensive income	-	-	-	-	-
Total comprehensive income	-	-	-	1,223,913	1,223,913
Transactions with owners of the Company					
Interim dividend	-	-	-	(98,100)	(98,100)
Balance as at 31 December 2021	218,000	592,491	431,136	4,534,009	5,775,636
Balance as at 1 April 2022	218,000	592,491	431,136	5,479,027	6,720,654
Comprehensive income for the period					
Profit for the period	-	-	-	2,116,129	2,116,129
Other comprehensive income	-	-	-	-	-
Total comprehensive income	-	-	-	2,116,129	2,116,129
Transactions with owners of the Company					
Interim Dividend	-	-	-	(141,700)	(141,700)
Balance as at 31 December 2022	218,000	592,491	431,136	7,453,456	8,695,083

COMPANY

	Stated Capital Rs.000	Capital Reserves Rs.000	General Reserves Rs.000	Retained Earnings Rs.000	Total Rs.000
Balance as at 1 April 2021	218,000	522,620	431,136	3,455,812	4,627,568
Comprehensive income for the period					
Profit for the period				1,225,739	1,225,739
Other comprehensive income	-	-	-	-	-
Total comprehensive income	-	-	-	1,225,739	1,225,739
Transactions with owners of the Company					
Interim dividend	-	-	-	(98,100)	(98,100)
Balance as at 31 December 2021	218,000	522,620	431,136	4,583,451	5,755,207
Balance as at 1 April 2022	218,000	522,620	431,136	5,524,965	6,696,721
Comprehensive income for the period					
Profit for the period	-	-	-	2,117,959	2,117,959
Other comprehensive income	-	-	-	-	-
Total comprehensive income	-	-	-	2,117,959	2,117,959
Transactions with owners of the Company					
Interim dividend	-	-	-	(141,700)	(141,700)
Balance as at 31 December 2022	218,000	522,620	431,136	7,501,223	8,672,980

STATEMENT OF CASH FLOWS

For the period ended 31 December	COMPANY & INVESTEE		COMPANY	
	2022 Rs.000	2021 Rs.000	2022 Rs.000	2021 Rs.000
Cash flow from operating activities				
Profit before tax	2,672,752	1,492,972	2,674,582	1,494,797
Adjustments for:				
Share of loss from equity accounted investee (net of tax)	1,829	1,826	-	-
Interest income	(301,253)	(41,330)	(301,253)	(41,330)
Interest expense	24,983	70,836	24,983	70,836
Depreciation of property, plant and equipment	76,846	69,544	76,846	69,544
Amortization of Intangible assets	-	5,196	-	5,196
Amortization of right-of-use assets	670	670	670	670
Provision for obsolete and slow moving inventories	5,176	35,306	5,176	35,306
Gain on disposal of property, plant and equipment	(12,946)	-	(12,946)	-
Provision for employee benefits	21,940	19,946	21,940	19,946
Operating profit before working capital changes	2,489,997	1,654,965	2,489,997	1,654,965
Changes in working capital				
(Increase)/decrease in inventories	(350,412)	121,558	(350,412)	121,558
Decrease in trade and other receivables	341,973	426,805	341,973	426,805
Increase in amount due from related companies	(81,384)	(43,489)	(81,384)	(43,489)
Increase in deposits and prepayments and value added tax recoverable	(33,461)	(10,232)	(33,461)	(10,232)
Decrease in trade and other payables	(2,673,097)	(91,529)	(2,673,097)	(91,529)
Decrease in amount due to related parties	(147,748)	(114,954)	(147,748)	(114,954)
Cash generated from operations	(454,131)	1,943,124	(454,131)	1,943,124
Gratuity paid	(5,094)	(6,370)	(5,094)	(6,370)
Current tax paid	(197,972)	(91,478)	(197,972)	(91,478)
Interest paid	(24,983)	(70,836)	(24,983)	(70,836)
Net cash generated from/(used in) operating activities	(682,179)	1,774,440	(682,179)	1,774,440
Cash flow from investing activities				
Short term loans settled by related parties	24,314	-	24,314	-
Proceeds from disposal of property, plant and equipment	12,946	-	12,946	-
Acquisition of property, plant and equipment	(60,049)	(232,333)	(60,049)	(232,333)
Investment in fixed deposits	(440,685)	-	(440,685)	-
Interest received	301,253	41,330	301,253	41,330
Net cash used in investing activities	(162,221)	(191,003)	(162,221)	(191,003)
Cash flow from financing activities				
Dividend paid	(137,810)	(102,979)	(137,810)	(102,979)
Lease payments	(602)	(478)	(602)	(478)
Loans obtained during the period	-	1,971,741	-	1,971,741
Loans repayments during the period	(118,136)	(2,243,359)	(118,136)	(2,243,359)
Net Cash used in financing activities	(256,548)	(375,076)	(256,548)	(375,076)
Net increase/(decrease) in cash and cash equivalents	(1,100,948)	1,208,361	(1,100,948)	1,208,361
Cash and cash equivalents at beginning of the period	2,501,869	833,922	2,501,869	833,922
Cash and cash equivalents at the end of the period	1,400,921	2,042,283	1,400,921	2,042,283

NOTES TO THE FINANCIAL STATEMENTS

- Figures in the Interim Financial Statements are provisional and subject to audit.
- The consolidated interim financial statements have been prepared in accordance with the accounting policies set out in the Annual Report for the year ended 31 March 2022 and are in compliance with Sri Lanka Accounting Standards - LKAS 34 -Interim Financial Reporting.
- The previous period figures have been re-classified to confirm with the current year's presentation.
- Finance income for the period includes exchange gain on foreign currency translation of the period amounting to Rs.356,396,650/-.
- The contingent liability as at 31 December 2022 on guarantees given to third parties amounted to Rs.215,982,476/-.
- The Board of Directors declared an Interim Dividend of Rs.6/50 per share for the year ended 31 March 2022 amounting to Rs. 141.7 Mn. on August 4, 2022 which was paid on 04 September 2022.
- There have been no other material events subsequent to the interim period which require disclosure in the Financial Statements.
- The number of shares held by the Board of Directors are as follows :

		As at 31 December 2022		As at 31 December 2021	
		No. of Shares	% Holding	No. of Shares	% Holding
Mr. U. G. Madanayake	- Chairman	56,200		56,200	0.26%
Mr. Suren Madanayake	- Deputy Chairman	61,000		61,000	0.28%
Mrs. N. C. Madanayake	- Director	-		-	
Dr. Bandula Perera	- Director	-		-	
Mr. Mahinda Saranapala	- Director/CEO	-		-	
Mr. Deepal Sooriyaarachchi	- Director	-		-	

9. Shares held by public

	No. of Shares	% Holding	No. of Shareholders
Shares held by public as at 31 December 2022	4,399,696	20.2%	2811

Float adjusted market capitalization (Rs.)

1,142,821,036

Company complies the requirement of Listing Rules of 7.14.1 -Minimum Public Holding as a Continuous Listing Requirement under the option No. 05 of 7.14.1 (a) as follows.

OPTION	MINIMUM PUBLIC HOLDING REQUIREMENT		
	Float adjusted Market Capitalization	Public Holding Percentage	Number of Public Shareholders
Option -5	Less than Rs.2.5Bn	20%	500

10. 20 Largest Shareholders of the Company as at 31 December 2022 were as follows:

	No. of Shares	% Holding
1 Lanka Olex Cables (Private) Ltd	16,349,348	75.00%
2 ACL Cables PLC	933,756	4.28%
3 National Savings Bank	170,000	0.78%
4 Bank of Ceylon-No 2 A/C (BOC PTF)	117,918	0.54%
5 Employees Trust Fund Board	116,285	0.53%
6 Thaha I. M.	103,500	0.47%
7 DFCC Bank PLC A/C No. 02	87,450	0.40%
8 Ceylinco Shiram Capital Management Services	76,600	0.35%
9 Wijaya P. Ramesh P.	76,342	0.35%
10 Saraswathi V. and Vasudevan S.	63,944	0.29%
11 Goonesekera C. D. M. (Mrs.)	62,500	0.29%
12 Madanayake H. A. S.	61,000	0.28%
13 Madanayake U. G.	56,200	0.26%
14 Leonard D. S.	41,203	0.19%
15 Mayakaduwa J. K.	40,959	0.19%
16 Kannangara N. L. & De Livera S.S.	40,000	0.18%
17 Sumathipala U. W. J. P. A.	35,200	0.16%
18 Samarakkody S. A. B. B. N.	31,248	0.16%
19 Gunaratne H. H.(Deceased)	31,248	0.14%
20 De Alwis L. A. W.	30,000	0.14%

CORPORATE INFORMATION

Name of the Company	- Kelani Cables PLC
Company registration No.	- PQ 117
Legal form	- A Quoted Public Company with Limited Liability Incorporated as Ceylon Non-Ferrous Metal Industries Limited on 27th January 1969. Thereafter on 18th December 1973 the name was changed to Kelani Cables Limited. With the adoption of the Companies Act No. 07 of 2007, re-registered as Kelani Cables PLC in February 2008.
Registered office	- No. 60, Rodney Street, Colombo 08, Sri Lanka Telephone : 94-11-7608300, 94-11-2697652 Fax : 94-11-2667758, 94 11 2699503
Principle place of business	- P.O. Box 14, Wewelduwa, Kelaniya, Sri Lanka Telephone : 94-11-2911224, 94-11-7434400 Fax : 94-11-2910481 Email : info@kelanicables.com Website : www.kelanicables.com
Board of directors	- Mr. U. G. Madanayake Mr. Suren Madanayake Mrs. N. C. Madanayake Dr. Bandula Perera Mr. Mahinda Saranapala Mr. Deepal Sooriyaarachchi
Company secretary	- Corporate Affairs (Private) Limited. No. 68/1, Dawson Street, Colombo 02, Sri Lanka
Auditors	- KPMG (Chartered Accountants) 32A, Sir Mohamed Macan Marker Mawatha P. O. Box 186 Colombo 03 Sri Lanka
Bankers	- Hatton National Bank PLC Hongkong and Shanghai Banking Corporation Limited Standard Chartered Bank Peoples Bank Nations Trust Bank PLC NDB Bank PLC DFCC Bank PLC Commercial Bank of Ceylon PLC Sampath Bank PLC Seylan Bank PLC